1 a (i) a long-term investment from a multinational corporation of a country to a company based in another country

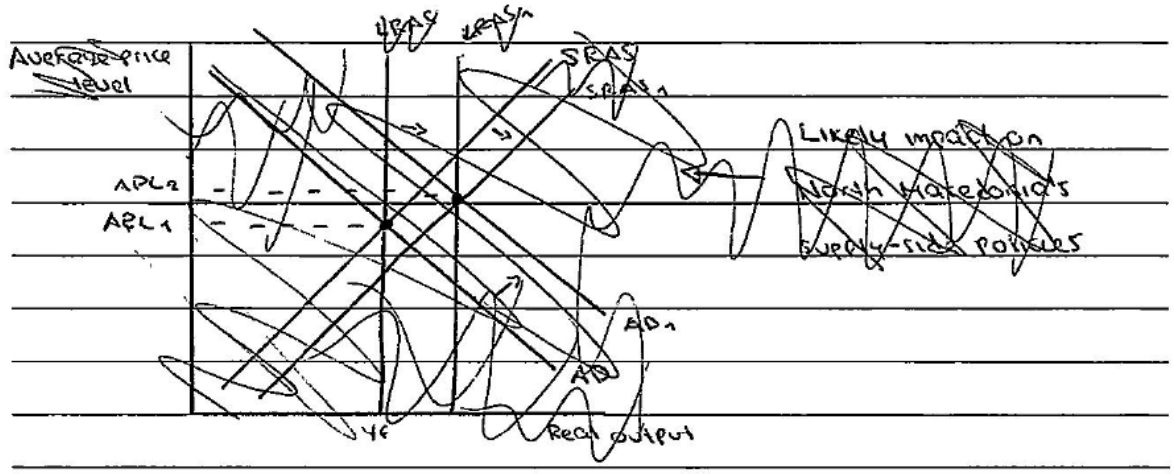
(ii) unemployment rate is the number of unemployed workers expressed as a percentage of the total labor force.

1 b (i) 2016 - 2017 = 110'9 - 109'4 = 1'5 ‰ = 1'37 %
2017 - 2018 = 112'5 - 110'9 = 1'6 ‰ = 1'44 %
2018 - 2019 = 113'4 - 112'5 = 0'9 = 0'8 %
> total increase in inflation = 3'66 %

(ii) 2018

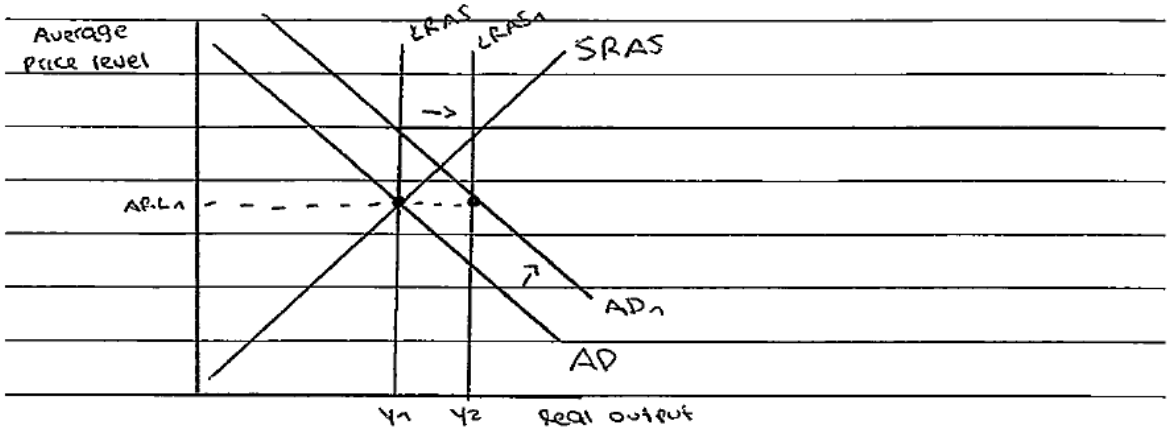
(iii) 7'57 - 9'56 = -1'99 billion

1 c



1 c

Likely impact of North Macedonia's supply-side policies



As North Macedonia is implementing supply-side policies to improve aspects related to the quality or quantity of the factors of production, the LRAS will shift to the right.

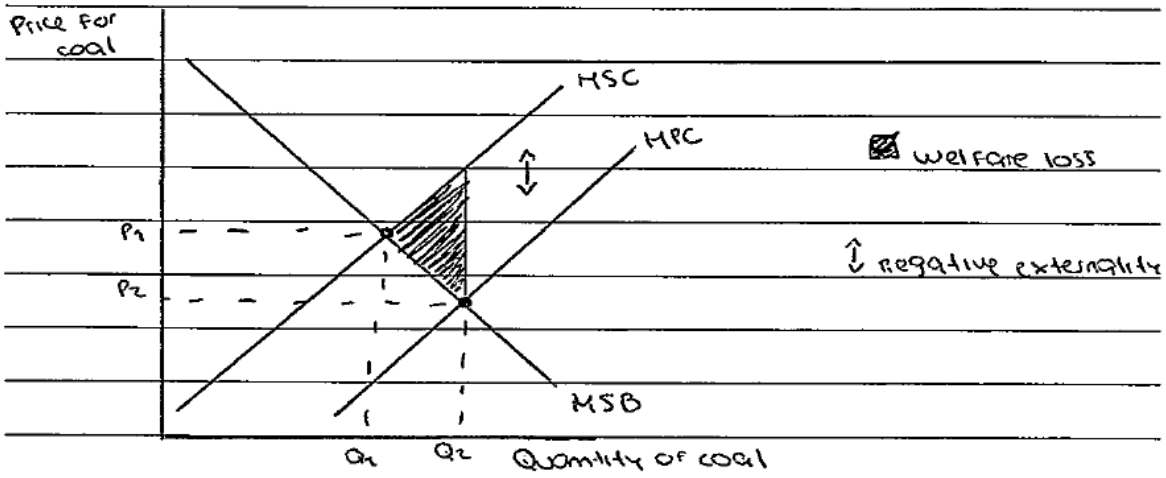
In the diagram represented above, it is shown the likely impact of North Macedonia's supply-side policies. At first, the market is at an equilibrium average level of prices APL1 and a real output of Y1. But, as there would be long-run benefits for the country by increasing access to education and training for workers, the expansion of the transport network and other infrastructure and increase in efficiency there would be a shift of the SRAS LRAS leading to an increase in the AD to AD1 and an increase in economic growth from Y1 to Y2. Thus, the full employment level of output will increase as the country is more efficient and the LRAS has been increased.

1 d

Negative externality of production caused by the dependance on coal

next page

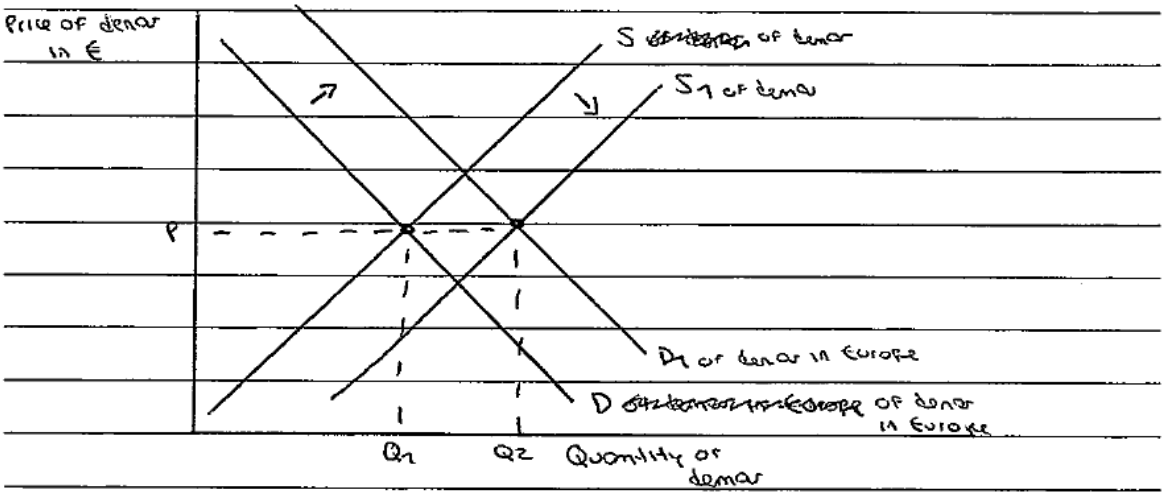
1 d



The dependance on coal for North Macedonia would mean that the country is over-producing this ~~[illegible]~~ good that ~~[illegible]~~ its production has a greater negative impact on society than for the individuals producing it. This is why the implementation of solar, wind and hydropower technologies could reduce the welfare loss cause by the negative externality as less coal would be produce to start using solar, wind and hydropower technologies.

Fixed exchange rate system of the denar to the euro.

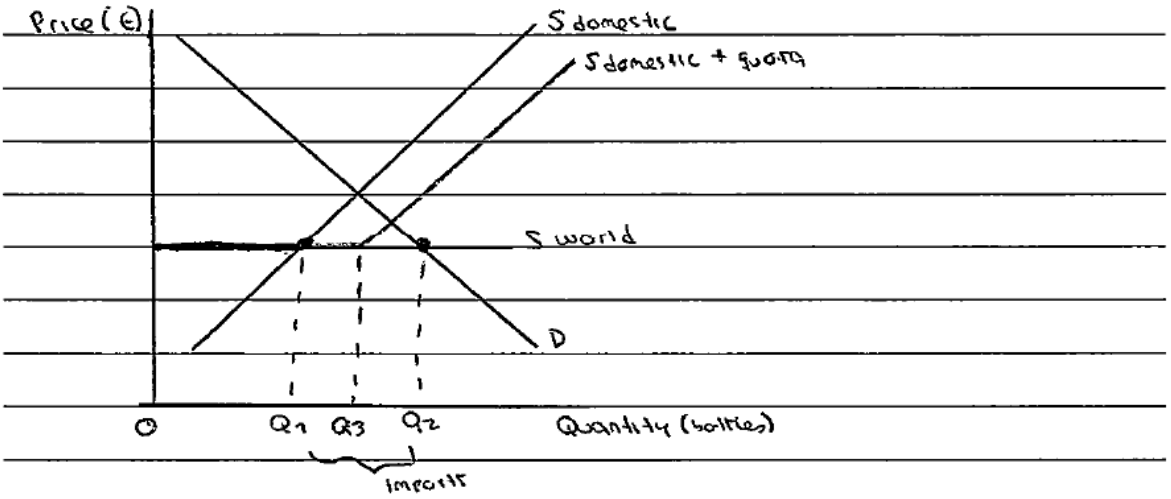
1 e



The North Macedonia's central bank is using a fixed exchange rate system which consists of fixing the value of a currency (in this case the denar) to the value of another currency.

As it is shown in the diagram, when the demand for denar increases in a floating exchange rate system the value of the denar would be appreciated against the euro, but as it is on a fixed exchange rate diagram, the value of denar will remain the same as the supply of denar would increse to prevent the denar from appreciating against the euro.

International market of North Macedonia's wine



1 F

The diagram above shows the market of wine when the quota for EU is removed.

Before this situation, an import barrier such as a quota was preventing a larger quantity of wine from the EU to enter the country. But, as it is removed, foreign producer would be allowed to provide the market a larger quantity of wine (from Q_1 to Q_2) instead of Q_3 to Q_2 which is what they were allowed to provided with the established quota.

There would be an increase in efficiency as there would be more international competition and domestic firms would compete to maintain their products in the market. This measure won't protect domestic producers anymore.

1 9

Around the world, there are many agreements between countries to reduce their trade barriers and reduce regulations. The European Union has a common market which means that there is a common flow of good, services, capital and labor between members. If the North Macedonia is willing to join this agreement, there would be as many ~~~~ positive as negative consequences.

On one hand, North Macedonia's foreign direct investment may increase if the country joins the EU with the consequences that this would entail. Foreign direct investment would compete with domestic firms and may reduce domestic firms power on the market. this could reduce North Macedonia's exports which could lead to a decrease in the GDP of the country if imports aren't decreased to balance. Also, as it says in the text (Text A, paragraph 3, line 8) "most of the profits of foreign companies ~~~~ are likely to be repatriated" this action would not be positive for North Macedonia as the country is going to get a small percentage of the profits that wouldn't be compensated with the increase in competition for domestic firms.

Instead, as North Macedonia can increase their imports it can increase their exports too. North Macedonia provides the EU "62% of its imports" including agricultural products and food products. ~~The~~ joining the EU could loosen the ~~restriction~~ trade barriers and increase their imports into the EU and increasing their GDP consequently.

Relating to the unemployment rate, a common market has a common flow of labor and capital which can help the country reduce even more ~~there~~ its unemployment rate. "However, youth unemployment is almost 40%" (line 7, text A) the people that would be moving to other countries are normally young people

which could permit young North Macedonia's population to look for new job opportunities in the EU. Also, people from the EU could move to North Macedonia to work, increasing GDP and its efficiency because of an increase in the quantity of factors of production.

The open flow of labor could open opportunities to people in Macedonia that are unemployed "20% of the population lives below the poverty line" (line 7, text A). Opening the possibility for people to enter the country more freely and to leave would have an increase in firms in the country and a decrease in unemployment as there is a greater demand for labor.

On the environmental aspect, North Macedonia would be making changes in their ~~production~~ production "reducing their dependance on coal and promoting the use of solar, wind and hydropower technologies" (text B, line 4 and 5). This would have greater economical costs for the country that have to be considered.

Also, the impact on foreign firms in the country could help North Macedonia with the training and education of their workers that have "skill shortage and a mismatch of skills" (text B, line 8 and 9). The diversification of the countries economy would help workers training and education to reduce unemployment.

North Macedonia joining the EU would help the economy to get training for their workers, lower levels of unemployment, a greater GDP and increase in exports. But the negative aspects need to be considered in order to make the best decision like the introduction of imports and foreign firms exporting their profits.